Enbridge Inc. (ENB)

Utility Acquisitions Add Scale - Per-Share Growth Must Catch Up

ENB, TSX / NYSE | Energy | Pipelines, Utilities and Renewables

OVERWEIGHT

Price (22 Aug 2024):	C$53.15
Price Target (Dec-25):	C$58.00

INVESTMENT THESIS

Enbridge reported Q2 adjusted EBITDA of C$4.3bn, up 8%, and distributable cash flow of C$2.9bn, up 3%. The company recast 2024 EBITDA guidance to C$17.7-C$18.3bn after closing two U.S. gas utility acquisitions.

The acquisitions add regulated earnings and extend duration, but equity issued before closing diluted near-term per-share growth. Financing costs also offset part of operating progress, making DCF per share and leverage more important than absolute EBITDA.

Our C$58 December 2025 target applies 9.9x FY25E DCF per share of C$5.85. A near-7% dividend yield provides much of the expected return, while leverage and project execution constrain the multiple.

- Q2 adjusted EBITDA increased 8% to C$4.3bn and DCF rose 3% to C$2.9bn; adjusted EPS declined to C$0.58.
- 2024 DCF per share guidance remains C$5.40-C$5.80 despite acquisition financing, while EBITDA guidance was raised for closed utilities.
- Our C$58 December 2025 target implies 9.1% price upside. Estimated dividends add 9.2%, for approximately 18.3% total return.

COMPANY OVERVIEW

Enbridge operates liquids pipelines, gas transmission, gas distribution and renewable power assets across North America. Long-term contracts and regulated returns support cash-flow stability; leverage, financing costs, project execution and regulation are key risks.

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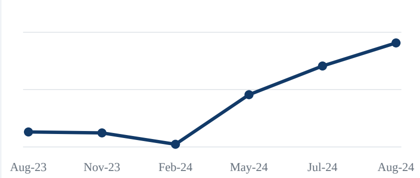
Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~2.18bn
Market cap	~C$116bn
52-week range	~C$43-54
Annual dividend	C$3.66
2024 EBITDA guide	C$17.7-18.3bn
2024 DCF/sh guide	C$5.40-5.80
Q2 DCF	C$2.9bn
Latest results	Q2 2024

KEY ESTIMATES

C$mm unless noted	FY22A	FY23A	FY24E	FY25E
Adjusted EBITDA	15,531	16,454	18,000	19,200
DCF / share	5.42	5.48	5.50	5.85
Adjusted EPS	2.81	2.79	2.85	3.00
Dividend / share	3.44	3.55	3.66	3.77
Debt / EBITDA	~4.7x	~4.1x	~4.9x	~4.7x

Q2 2024: EBITDA GROWTH, FINANCING FRICTION

New gas utility contributions and operating growth lifted EBITDA, but interest, tax, depreciation and a higher share count reduced per-share translation. The quarter therefore supports strategic scale while keeping capital discipline central.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Adjusted EBITDA	C$4.0bn	C$5.0bn	C$4.3bn	+8%	Utilities and assets
DCF	C$2.8bn	C$3.5bn	C$2.9bn	+3%	Cash growth
DCF / share	~C$1.37	C$1.63	C$1.34	Down	Higher share count
Adjusted earnings	C$1.4bn	~C$2.0bn	C$1.2bn	-10%	Financing costs
Adjusted EPS	C$0.68	C$0.92	C$0.58	-15%	Per-share pressure
GAAP EPS	C$0.91	-	C$0.86	Down	Accounting noise
Mainline volume	2.99mmbpd	~3.1mmbpd	3.08mmbpd	+3%	Strong demand

FORECAST AND EARNINGS FRAMEWORK

We use the midpoint of recast EBITDA guidance and C$5.50 per share within DCF guidance for FY24E, then assume roughly 5% EBITDA growth in FY25E and FY26E. DCF per share grows more slowly as financing and share issuance work through the model. Leverage declines gradually with retained cash and asset sales.

C$mm unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Adjusted EBITDA	15,531	16,454	18,000	19,200	20,200
EBITDA growth	-	6%	9%	7%	5%
DCF	10,983	11,267	11,800	12,700	13,400
DCF / share	5.42	5.48	5.50	5.85	6.10
Adjusted EPS	2.81	2.79	2.85	3.00	3.15
Dividend / share	3.44	3.55	3.66	3.77	3.88
Payout ratio	~63%	~65%	~67%	~64%	~64%
Total capital spending	4,647	4,654	~6,000	~6,000	~6,000
Debt / EBITDA	~4.7x	~4.1x	~4.9x	~4.7x	~4.6x

ABSOLUTE GROWTH IS NOT ENOUGH

Enbridge can grow EBITDA through acquisitions and projects while producing limited near-term per-share growth if financing costs and equity issuance absorb the benefit. Our framework therefore centers on DCF per share, payout coverage and debt-to-EBITDA.

GROWTH DRIVERS: GAS UTILITIES, BACKLOG AND MAINLINE DEMAND

The portfolio adds regulated utility earnings to established liquids and gas infrastructure. Contract duration and demand visibility are strengths; the challenge is funding growth without eroding per-share economics.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
EBITDA	C$16.5bn	C$4.3bn	C$19.2bn	C$20.2bn	Scale growth
DCF / share	C$5.48	C$1.34	C$5.85	C$6.10	Per-share test
Gas utilities	Announced	2 closed	Full year	Grow rate base	Regulated mix
Mainline volume	Strong	3.08mmbpd	Stable	Stable	Cash visibility
Dividend	C$3.55	C$0.915 qtr	C$3.77	C$3.88	Income support
Debt / EBITDA	~4.1x	Elevated	~4.7x	~4.6x	Multiple constraint

U.S. GAS UTILITIES

Questar and East Ohio add regulated customers and rate-base growth. Integration and regulatory execution must validate the acquisition case.

LIQUIDS AND GAS INFRASTRUCTURE

Mainline and Gulf Coast assets benefit from high utilization and long-lived demand. Contract renewals, tolling and project execution remain key variables.

FUNDING AND DIVIDEND

The dividend is well covered by DCF, but leverage and financing costs limit flexibility. A return to an equity self-funded model is important for restoring per-share growth.

VALUATION AND PRICE TARGET

Our December 2025 target is C$58. The primary framework applies 9.91x to our FY25E DCF per share of C$5.85. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
DCF multiple	50%	9.91x FY25E C$5.85	C$58	Contracted cash flow
Cash-flow model	30%	7.5% WACC; 2.5% terminal g	C$56	Cash conversion
Peer check	20%	Pipeline and utility peers	C$62	Relative valuation
Weighted target	100%		C$58	Rounded target

VALUATION SENSITIVITY

FY25E DCF / multiple	8.0x	9.0x	10.0x	11.0x	12.0x
C$4.97	C$40	C$45	C$50	C$55	C$60
C$5.56	C$44	C$50	C$56	C$61	C$67
C$5.85	C$47	C$53	C$58	C$64	C$70
C$6.14	C$49	C$55	C$61	C$68	C$74

At C$53.15, the shares trade at 9.1x our FY25E DCF per share. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Utilities outperform; leverage falls; rates ease	C$71
Base	55%	5% growth; stable payout; gradual deleveraging	C$58
Bear	20%	Financing and execution pressure per-share growth	C$39

The probability-weighted scenario value is C$57. Our C$58 target implies 9.1% price appreciation and approximately 18.3% total return including estimated dividends through December 2025. We rate ENB Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Utility integration and rate cases exceed plan.
- Interest rates fall and refinancing costs improve.
- Mainline volumes and tolling remain strong.
- Asset sales accelerate deleveraging.

DOWNSIDE RISKS

- Leverage stays elevated after acquisitions.
- Financing costs offset operating growth.
- Projects face permitting, cost or schedule delays.
- Equity issuance resumes and dilutes DCF per share.

METHODOLOGY AND SOURCE NOTES

1. Enbridge FY2023 results and Annual Report dated 9 February 2024: https://www.sec.gov/Archives/edgar/data/895728/000089572824000006/ei-ex991newsreleasexdocume.htm and https://www.enbridge.com/~/media/Enb/Documents/Investor-Relations/NoticeAndAccess/2024/ENB_2023_Annual_Report_EN.pdf

2. Enbridge Q1 and Q2 2024 results dated 10 May and 2 August 2024: https://www.sec.gov/Archives/edgar/data/895728/000089572824000012/ei-ex991newsreleasexdocume.htm and https://www.sec.gov/Archives/edgar/data/895728/000089572824000019/ei-ex991newsreleasexdocume.htm

3. Market data: ENB raw TSX close of C$53.15 on 22 August 2024: https://query2.finance.yahoo.com/v8/finance/chart/ENB.TO?period1=1692748800&period2=1724371200&interval=1d&events=history

4. FY24E was rebuilt from H1 2024 results and dated guidance. FY24E DCF uses a C$5.50 per-share estimate within guidance and approximately 2.14bn diluted shares; FY25E/FY26E dividends assume about 3% annual growth from the cutoff annualized rate. All forecasts, scenarios, rating and target exclude subsequent actuals.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Enbridge, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.